10. INCOME TAXES

The provision (benefit) for income taxes is comprised of the following (in thousands):

	FOR THE YEARS ENDED DECEMBER 31,		
	1999	1998	1997
Current			
Federal	$ 268	$ --	$ --
State	65	217	78
Foreign	867	1,047	505
Deferred	(12,631)	--	--
Total income tax provision (benefit)	$(11,431)	$ 1,264	$ 583

The Company utilizes the liability method for calculating deferred income taxes, and deferred tax assets and liabilities are determined based on the estimated future tax effects of differences between the financial statement and tax bases of assets and liabilities pursuant to the provisions of enacted tax laws. Significant components of the Company's deferred tax assets were as follows (in thousands):

	AT DECEMBER 31,	
	1999	1998
Deferred tax liabilities:		
Unrealized gain on investments	$ (16,492)	$ --
Prepaid expenses	(2,570)	(1,674)
Total deferred tax liabilities	(19,062)	(1,674)
Deferred tax assets:		
Net operating loss carryforwards	1,205	8,510
Foreign tax credit carryforwards	1,593	1,159
Depreciation and amortization	8,819	5,128
Stock options and warrants	5,397	1,290
Other, primarily accrued expenses	2,110	997
Total deferred tax assets	19,124	17,084
Valuation allowance	(1,593)	(15,410)
Net deferred tax liability	$ (1,531)	$ --

During 1999, the Company established a deferred tax liability related to its warrants to purchase common stock of PurchasePro.com, Inc., which resulted in a reduction in other comprehensive income. The Company also established deferred tax assets of $2.3 million related to its acquisitions. Due to the difference in the income tax and

financial reporting bases of assets acquired and liabilities assumed in these acquisitions, the tax benefit has been reflected as a reduction of goodwill in the accompanying consolidated balance sheet as of December 31, 1999.

The valuation allowance for deferred tax assets decreased by $13.8 million in 1999. The decrease in this allowance is primarily attributable to increased domestic earnings of the Company. A valuation allowance has been provided on foreign tax credit carryforwards which substantially expire in 2001. Based on management's assessment, it is more likely than not that all the deferred tax assets, net of the valuation allowance at December 31, 1999, will be realized. The Company's net operating loss carryforwards expire through 2012.

The provision for income taxes differs from the amount computed by applying the statutory federal income tax rate to income before the provision for income

taxes. The sources and tax effects of the differences are as follows (in thousands):

	FOR THE YEARS ENDED DECEMBER 31,		
	1999	1998	1997
Income tax benefit at the federal statutory rate of 35%..	$ (4,710)	$(9,510)	$(2,909)
Change in valuation allowance.....	(13,817)	9,060	3,070
Nondeductible amortization.....	4,127	2,875	--
Foreign operations.....	468	220	505
Change in deferred tax rates.....	488	--	--
State taxes net of federal benefit.....	102	143	51
Other	1,911	(1,524)	(134)
Total income tax provision (benefit).....	$ (11,431)	$ 1,264	$ 583